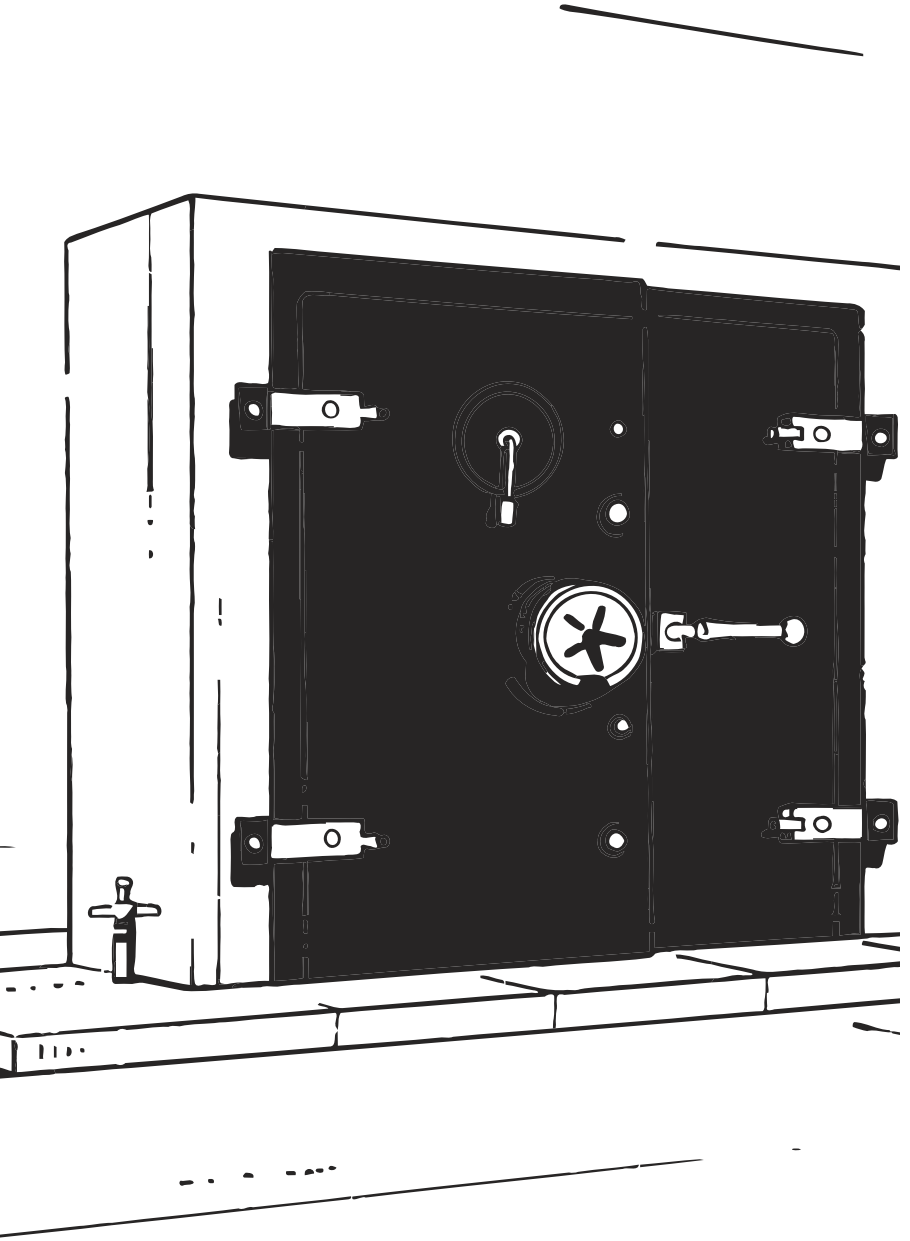
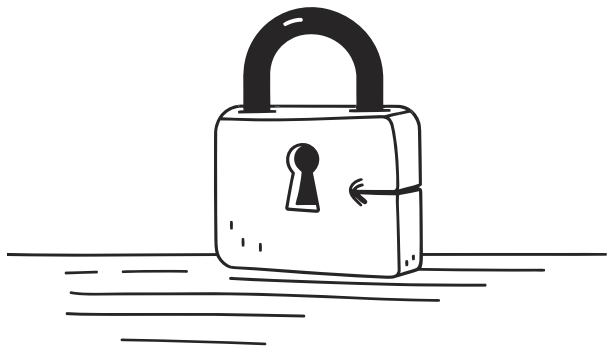


Designing a Custody Policy and the Mining ESG Debate

Two tasks: design a custody and key-management policy, then judge the Proof-of-Work energy debate on evidence.

What a Custody Policy Must Cover



Cold / Hot Split

Define how much is kept offline versus online at all times.

Multi-Sig Threshold

Set the required signature ratio - for example, 2-of-3.

Key Holders & Seed Phrases

Name who holds each key; specify seed-phrase storage and backup locations.

Recovery Plan

A written disaster and recovery plan covering all failure scenarios.

CBB Module CRA-8: client crypto-assets must be segregated from the firm's own assets.

The Mining ESG Debate: Judge the Mix

Energy by Design

Proof-of-Work consumes real energy - this is fundamental, not incidental.

The Mix Is What Matters

The share of energy from sustainable sources matters more than the raw total consumed.

Track with CBECI

The Cambridge Bitcoin Electricity Consumption Index (part of CBNSI) monitors consumption and source data.

Context to Understand the Mix

- The halving reduces the block subsidy over time, affecting miner economics.
- After the 2021 China ban, mining geography shifted - and so did its energy mix.
- Always judge the mix concept, never a single moving percentage.



Worked Example: A Custody Policy for a Bahraini Firm

Holdings of approximately USD 250,000 in crypto-assets.



90% Cold Multi-Sig

2-of-3 cold wallet. Keys held by the CFO, a director, and an external custodian.



10% Hot Wallet

Reserved for day-to-day operations only. Exposure is deliberately limited.



Seed-Phrase Backup

Seed phrases split across two separate bank vaults to eliminate a single point of failure.



Recovery Plan

A written plan covering all failure scenarios. Meets CRA-8 segregation requirements.

This structure satisfies CRA-8 segregation and limits the loss from any single failure.